

several companies that monitor the performance of hedge funds, although those published numbers are often biased. Some monitoring companies are paid by the hedge funds to promote the funds they report on. Other monitoring companies use flawed data collection methodologies. For instance, they do not include the performance of funds that have closed or merged. This produces an upward *survivorship bias* in the hedge fund indexes. When a hedge fund has a bad quarter, the managers may simply choose not to report the results. This leads to a *selection bias* in the index performance. Most monitoring companies allow a newly reporting fund to “backfill” performance with simulated historic returns that no investor actually earned. That creates a *backfill bias* in the indexes. Finally, most monitoring companies allow the hedge fund managers to price their own illiquid securities, thus introducing a *pricing bias* into the indexes.

When all the inconsistencies of the published hedge fund indexes are eliminated from the data, the total return of the indexes drops dramatically. Wholesalers of hedge funds claim that the returns on these funds are equal to the long-term return on the stock market, with less risk. However, after factoring out all inconsistencies in the indexes, the returns on hedge funds fall more in line with the return of intermediate-term government bonds, albeit with much greater risk than bonds.

If the flaws in hedge fund index performance do not stop you from investing in this hedge funds, the lack of consistency of performance should. The funds that performed well one year cannot be relied upon to deliver top returns in the following year, or in any year thereafter. In fact, after one good year, the probability of having a below-average second year is higher than that of having an above-average one.

Vikas Agarwal of Georgia State University and Narayan Naik of the London Business School wrote one of many published research reports documenting the erratic and unpredictable returns from hedge funds.¹ Agarwal and Naik found that persistence of return among hedge fund managers is short term in nature and that what little persistence there is disappears over a multiyear period. Thus, it is very unlikely that anyone can predict which hedge funds will perform well in the future and which ones will perform poorly.

In 1990, there were fewer than 300 hedge funds with assets totaling less than \$30 billion. By 2007, the number approached 10,000 and total assets over \$1 trillion. The recession in 2008 and 2009 led many funds to their